

Supplier and Purchase Order Approval Policy

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Document Classification: Internal Use

1. Purpose

This policy defines the rules for validating suppliers and purchase orders (POs) before a purchase can be approved.

The objective is to ensure that:

- Purchases are made only from approved suppliers.
- Payment terms comply with supplier agreements.
- PO values do not exceed the supplier's approved maximum PO value.
- Purchase requests can be automatically validated against the organization's supplier master data.

2. Supplier Approval

A supplier must have an **Approved** status of `YES` before a purchase order can be processed.

If the supplier has an **Approved** status of `NO`, the purchase order must be **Rejected** or sent for manual review.

3. Payment Terms

The payment terms stated in the purchase order must match the payment terms registered for the supplier.

For example:

- If the supplier is registered as **Net 30**, a PO with **Net 30** is valid.
- If the supplier is registered as **Net 60**, a PO with **Net 60** is valid.
- A mismatch between the PO payment term and the supplier's registered payment term must be flagged for review.

The system must not automatically approve a PO with a payment-term mismatch.

4. Maximum PO Value

The total PO value must not exceed the supplier's approved **Max PO Value**.

For example:

- ABC Technologies has a maximum PO value of USD 50,000.
- A PO for USD 45,000 is within the permitted limit.
- A PO for USD 55,000 exceeds the permitted limit and must not be automatically approved.

5. Purchase Order Validation Rules

Each PO must be validated against the supplier master data using the following checks:

Rule 1 — Supplier Exists

The vendor on the PO must exist in the supplier master database.

If the supplier cannot be found, the PO should be marked:

NEEDS REVIEW — UNKNOWN SUPPLIER

Rule 2 — Supplier Approved

The supplier's `Approved` field must be `Yes`.

If `Approved = No`, the PO should be:

REJECTED — SUPPLIER NOT APPROVED

Rule 3 — Payment Terms

The PO payment term must match the supplier's registered payment term.

If the values do not match:

NEEDS REVIEW — PAYMENT TERM MISMATCH

Rule 4 — Maximum PO Value

The PO amount must be less than or equal to the supplier's maximum permitted PO value.

If:

`PO Amount > Max PO Value`

the PO should be:

REJECTED — PO VALUE EXCEEDS SUPPLIER LIMIT

Rule 5 — All Checks Passed

A PO can be automatically approved only when:

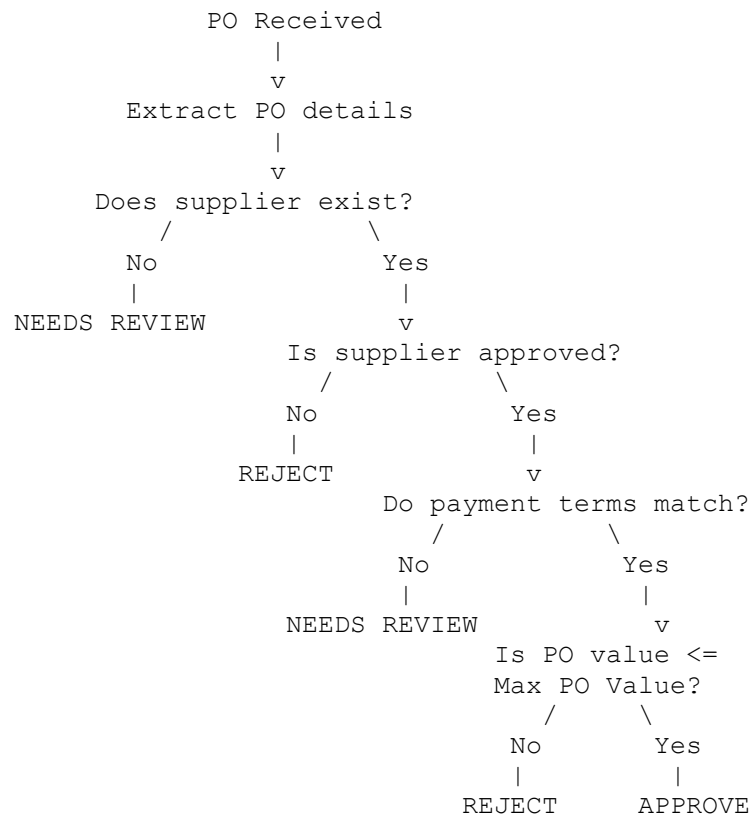
- Supplier exists.
- Supplier is approved.
- Payment terms match.
- PO amount is within the supplier's maximum PO value.

The result should be:

APPROVED

6. Decision Logic

The validation agent should follow this decision sequence:



7. Example Validation

Example A — Approved

Supplier: ABC Technologies

PO Amount: USD 30,000

Payment Term: Net 30

Validation:

- Supplier exists: **Yes**
- Approved: **Yes**
- Payment terms match: **Yes**
- $\text{USD } 30,000 \leq \text{USD } 50,000$: **Yes**

Decision: APPROVED

Example B — Rejected Supplier

Supplier: Test Corp

PO Amount: USD 10,000

Payment Term: Net 30

Validation:

- Supplier exists: **Yes**
- Approved: **No**

Decision: REJECTED — SUPPLIER NOT APPROVED

The PO should be rejected even though the payment term and PO amount are within the supplier's registered limits.

Example C — PO Value Exceeded

Supplier: ABC Technologies

PO Amount: USD 75,000

Payment Term: Net 30

Validation:

- Supplier exists: **Yes**
- Approved: **Yes**
- Payment terms match: **Yes**
- $\text{USD } 75,000 \leq \text{USD } 50,000$: **No**

Decision: REJECTED — PO VALUE EXCEEDS SUPPLIER LIMIT

9. Final Decision Categories

The system should use only the following decision categories:

Decision	Meaning
APPROVED	All policy checks passed
REJECTED	A mandatory policy rule failed
NEEDS REVIEW	Information is missing, inconsistent, or requires human judgment

10. Human-in-the-Loop

A human reviewer must be involved when:

- The supplier cannot be found.
- Payment terms do not match.
- PO information is incomplete.
- Supplier information is inconsistent.
- The AI system has insufficient confidence to make a reliable decision.

The AI agent must not invent missing supplier information or policy rules.

End of Policy Document